

MEMORANDUM

Proposed Acquisition of Bandhan Bank by Axis Bank

To: Deal Team / Investment Committee
From: M&A Advisory
Date: September 23, 2026
Re: Axis Bank – Bandhan Bank Combination: Structure, Rationale, and EPS Impact

1. Executive Summary

Axis Bank is proposing to acquire 100% of Bandhan Bank in an all-in transaction valued at ₹37,170.9 Cr. The offer works out to ₹230.9 per Bandhan share, a 25% premium to Bandhan's current market price of ₹184.7 — the kind of premium needed to bring Bandhan's board and shareholders to the table and get the deal over the line.

2. Strategic Rationale

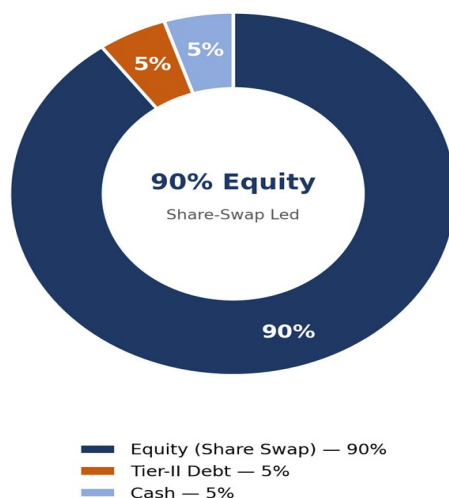
The appeal of this deal isn't just financial engineering — it fills three real gaps in Axis's franchise.

- **Market expansion:** Bandhan gives Axis an immediate, dominant footprint across Eastern and North-Eastern India, a region where Axis has historically been under-represented.
- **Portfolio diversification:** Bandhan's high-yield microfinance book balances out Axis's corporate-heavy lending mix, adding a differentiated earnings stream.
- **Priority sector lending:** Bandhan's deep rural and semi-urban network gives Axis a fast, credible path to meeting RBI's priority sector lending targets, rather than building that reach organically over several years.

3. Transaction Structure

The deal is funded 90% through a share swap, 5% cash, and 5% Tier-II debt — heavily tilted toward equity by design.

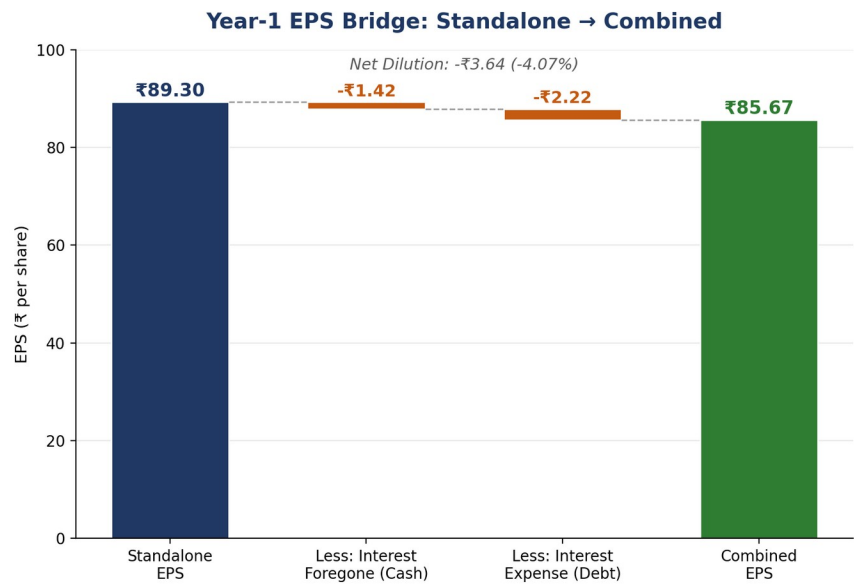
Funding Mix: ₹37,170.9 Cr Purchase Price



Leaning this hard on equity protects Axis's CET1 capital adequacy ratio and keeps the bank comfortably within RBI's liquidity mandates — a stock-heavy structure simply asks less of the balance sheet than a cash-funded deal would. The small cash and debt components aren't there to fund the deal in any meaningful way; they exist to settle fractional shares cleanly and to fine-tune the overall cost of capital.

4. Financial Impact & Accretion / Dilution

The transaction is modestly dilutive to Axis's standalone EPS in Year 1 — down 4.07%, from ₹89.30 to ₹85.67.



That dilution is arithmetic, not a red flag. It comes from Axis's higher earnings yield relative to Bandhan's — issuing new shares to fund the swap and absorbing the post-tax cost of the cash and debt pieces both weigh on EPS in year one. We'd expect this gap to close quickly: cross-selling Axis's broader product suite through Bandhan's branch network, plus cost synergies from consolidating overlapping branches, should make the deal EPS-accretive by Year 2 and more meaningfully so by Year 3.